



KUALA LUMPUR UNIVERSITY OF SCIENCE AND TECHNOLOGY

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Assignment 2: Ethical Issue in Information Technology: Data Privacy and Consent

Data Privacy & Consent (AI/Data-driven Profiling or Surveillance)

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Mandatory Declaration

AI Usage Statement:

This assignment includes content assisted by AI (Gemini) for idea generation, structuring the scenario, and improving language clarity in Sections 3, and 6. I have reviewed and rewritten the content to reflect my own understanding and analysis.

1. Introduction

Data privacy is an important ethical problem for the modern IT industry due to the ability of individuals to determine the collection, use and sharing of their personal data. The increasing use of surveillance technologies and artificial intelligence has enabled organizations to monitor and capture the behaviour and physical characteristics of users who are unaware of these actions. This paper addresses the ethical dilemma of data privacy and consent concerning the use of artificial intelligence for surveillance.

Data privacy and consent is an important ethical concern for IT because technology develops at a rate that exceeds the legal framework. In designing systems that collect biometric data of users without their authorization, IT professionals deny the autonomy of the user (Tavani, 2016). If this issue is not resolved, it will lead to a loss of trust by the general public toward the developers of technology which may result in a world with little or no privacy.

2. Scenario Description

Background

Retailer “ShopSmart” based in Kuala Lumpur has introduced an AI- Camera System as part of an effort to generate increased sales. The AI-Camera System uses facial recognition software to analyze the age and gender of each customer when they enter ShopSmart and determine their emotional state (happy, sad, or angry). Using all of the information collected from the customers, ShopSmart sells a profile of each customer to third party advertisers. Customers have no knowledge that they are being scanned for facial recognition purposes. There is a small sign posted at the entrance of the store stating “CCTV In Use.”

Stakeholders

The primary stakeholders are the customers, whose sensitive biometric data is being collected without specific consent. The management of ShopSmart is a stakeholder interested in profit. The IT developers who installed the system are responsible for the technology. Finally, the advertising agencies are stakeholders who buy the data.

Harm, Risk, and Conflict

The primary harm is the violation of the customers' right to privacy. There is also a significant security risk; if the database is hacked, the customers' biometric data (faces) could be stolen and used for identity theft (Spinello, 2021). The conflict exists between the company's desire for profit and the customers' right to control their personal data.

3. Ethical Analysis

Ethical Principles

The violation of the ethical principles of autonomy, transparency, and fairness by ShopSmart, stems directly from their decision to conceal the true purpose and characteristics of the cameras; thus, denying consumers the ability to choose to allow themselves to be scanned. Additionally, the use of the simple "CCTV" sign on the cameras is misleading and therefore violates the principle of transparency. Finally, the use of consumer's personal data for commercial gain by ShopSmart, with no compensation or consideration given to the consumer in exchange for this data, violates the principle of fairness.

Ethical Theory: Rights-Based Ethics

Rights based ethics asserts that all individuals have certain rights that should be respected regardless of the potential consequences of violating these rights. One of these rights is the right to privacy (Spinello, 2021). For example, even though using a camera in a store could result in increased revenue and improved efficiency (two positive consequences), a rights-based ethicist would argue that this is an unethical act, as it is a violation of the customer's fundamental right to be left alone, which is protected under the right to privacy. In other words, the right to privacy takes precedence over the business objective of generating profit.

4. Legal and Policy Analysis

PDPA – 2010

The Personal Data Protection Act (PDPA), enacted in 2010 in Malaysia, regulates the use of personal data in commercial activities.

- Notice Principle - Organizations are required to provide information to the individual as to why the data was collected (Laws of Malaysia, 2010).

ShopSmart failed to advise its customers that it would utilize their personal data for the purposes of marketing and sell their customer list to third parties.

- Consent Principle - Explicit consent from a data subject is required prior to collecting sensitive personal data; facial recognition is considered to be using biometric data; therefore, ShopSmart has violated this principle without receiving an individual's clear consent (Laws of Malaysia, 2010).

Communications and Multimedia Act (CMA) 1998

Primarily a telecommunications act, the CMA 1998 includes a provision requiring a safe environment on network facilities (Laws of Malaysia, 1998).

If ShopSmart does not transmit the data in a secure manner and is found to have breached regulations related to maintaining a secure environment with regard to transmitting data via networks (Laws of Malaysia, 1998), then ShopSmart will be responsible.

5. Discussion of Professional Codes of Ethics

IT professionals involved in this project must adhere to the **ACM Code of Ethics and Professional Conduct**.

ACM Principle 1.6: Respect Privacy

This principle states that computing professionals should protect the privacy of individuals. It explicitly mentions that professionals must "only use personal information for legitimate ends and without violating the rights of individuals and groups" (Association for Computing Machinery, 2018).

ACM Principle 1.2: Avoid Harm

Collecting sensitive biometric data without security guarantees puts users at risk of identity theft, which is a form of harm.

Professional Responsibility

A responsible IT professional should have refused to activate the facial recognition features without a clear consent mechanism. They should have advised the management that "CCTV" signs are insufficient for AI tracking. The professional should have designed the system to anonymize the data, ensuring that individual faces are not stored or sold.

6. Recommendations

to address the ethical problem identified above, the following recommendations have been proposed:

- Tech Solution: Privacy by Design will be implemented by the IT team. By default, the system will

blur all faces. Customers who want to take advantage of loyalty programs can use facial recognition; however, they must first provide a signed consent form.

- **System Wide:** Stop selling your customer data now, ShopSmart. Large, obvious signs or notices must be displayed which state that AI is used to analyze the customers' images, and the company is complying with the notice principle (Notice Principle) from the PDPA 2010.
- **Policy Change:** The government needs to update privacy policy to cover AI surveillance in public spaces; current privacy law does not cover AI surveillance on a daily basis and most of the laws were written when CCTV was still a new technology.
- **Behavior of Professionals:** IT Consultants need to develop an ethics assessment into their project phases so they can advise potential customers of possible privacy concerns prior to installing.

7. Conclusion

In conclusion, the unconsented collection of biometric data by ShopSmart represents a significant failure of IT ethics. The company prioritized commercial gain over the ethical principles of Autonomy and Privacy. This behavior violates Rights-Based Ethics, Malaysian laws such as the PDPA 2010, and professional standards like the ACM Code of Ethics. To maintain trust in the digital age, organizations must prioritize transparency and ensure that technology serves the public rather than exploiting them.

8. References

Association for Computing Machinery. (2018). *ACM Code of Ethics and Professional Conduct*.

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